

HDFC Life Insurance Company Ltd

HDFCLIFE

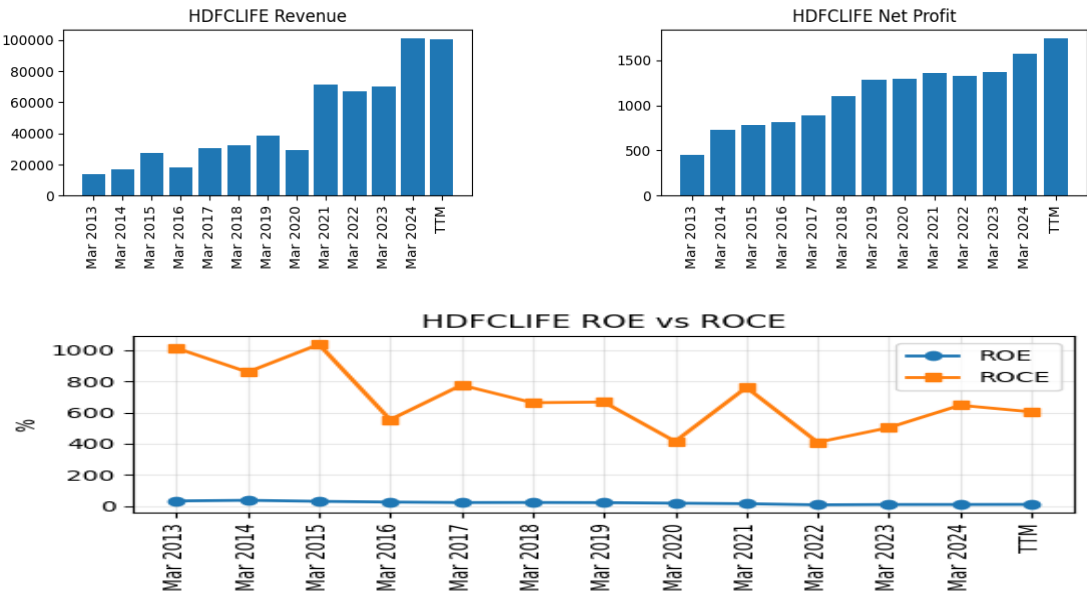
Key Financial Metrics

ROE 11.20%	ROCE 604.37%	Debt / Equity 0.06
Revenue CAGR 19.68%	FCF Conversion 681.13%	Quality Score 52.23

Company Profile

Company	HDFC Life Insurance Company Ltd
Sector	Financials
Industry	Life Insurance
Market Cap (■ Cr)	47,027.60
P/E Ratio	50.59
P/B Ratio	11.28
Dividend Yield	3.22%

Financial Performance



AI Investment Summary

HDFC Life Insurance Company Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has moderate profitability, strong capital efficiency, rapid revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 52.2/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: Two consecutive years of negative free cash flow point to weak cash generation.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• Two consecutive years of negative free cash flow point to weak cash generation.

Investment Recommendation

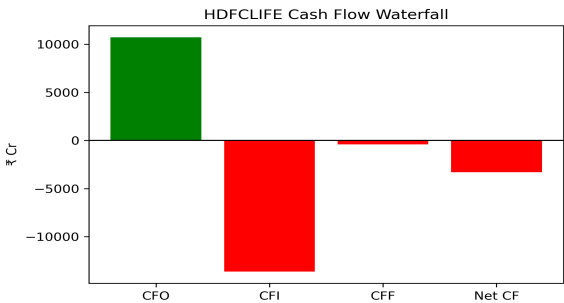
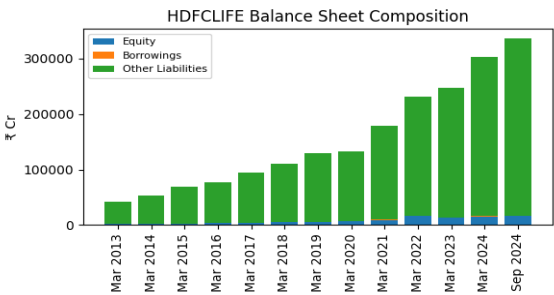
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 52.2/100, supported by 4 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 52.2

Balance Sheet & Cash Flow



Financial Health

Profitability	Weak
Growth	Strong

Cash Flow	Strong
Leverage	Strong
Valuation	Expensive

Capital Allocation

Shareholder Returns